

Magnolia Terrace - Revised (R1)

Investment / Sales Offering Memorandum and Underwriting Reconciliation | Raleigh, NC | Revised certified roll as of September 1, 2026 | Supersedes the initial package, which remains in the audit archive | Original fictional evaluation material - no real transaction

Revision Summary - What Changed

This revision applies the revision notice dated effective September 1, 2026 and the revised certified rent roll, which supersede the prior 2026-08-31 certified roll. The initial workbook (underwriting-v1.xlsx) and initial memorandum (memorandum-v2.pdf) are not replaced and remain in the audit archive for comparison.

Four inputs changed. Suite 045 moved from pending (no possession) to active. Suite 045 scheduled monthly rent increased by \$225, from \$1,925 to \$2,150. The initial sizing rate increased by 75 basis points, from 6.2500% to 7.0000%. The capitalization rate increased by 25 basis points, from 5.7500% to 6.0000%. All other lease details, underwriting rules, expense assumptions, loan constraints and the \$4,200,000 payoff are unchanged, and the prior executed Suite 001 amendment continues to apply.

Consequences: occupancy rises to 45 of 48 units (0.9375) and 38,250 of 40,800 SF (0.9375); the pending-unit occupancy overstatement in the manager's headline is cured on the revised roll; gross potential rent rises \$2,700 to \$977,100; underwritten NOI before reserves rises to \$643,862 and NCF to \$629,462; the higher cap rate lowers capitalization value to \$10,731,028 despite higher NOI; and the 75 bp higher sizing rate reduces the DSCR-constrained maximum loan by \$481,022 to \$6,307,523, cutting net cash-out by \$476,212 to \$1,999,448. Source-backed analysis. Assumptions remain subject to diligence.

Item	Initial	Revised (R1)	Change
Controlling roll date	2026-08-31	2026-09-01	Superseded
Suite 045 status	pending	active	Possession taken
Suite 045 rent / mo	\$1,925	\$2,150	+\$225
Occupied units	44	45	+1
Pending units	1	0	-1
Unit occupancy	0.9167	0.9375	+0.0208
Area occupancy	0.9123	0.9375	+0.0252
Gross potential rent	\$974,400	\$977,100	+\$2,700
Underwritten EGI	\$942,480	\$945,045	+\$2,565
Underwritten NOI (pre-reserve)	\$641,374	\$643,862	+\$2,488

Item	Initial	Revised (R1)	Change
Underwritten NCF	\$626,974	\$629,462	+\$2,488
Cap rate	5.7500%	6.0000%	+25 bps
Capitalization value	\$11,154,323	\$10,731,028	-\$423,296
Sizing rate	6.2500%	7.0000%	+75 bps
Maximum loan	\$6,788,545	\$6,307,523	-\$481,022
Net cash-out	\$2,475,660	\$1,999,448	-\$476,212

Executive Summary

Magnolia Terrace is a 48-unit, 40,800 square foot multifamily property in Raleigh, North Carolina, offered for investment/sale with an accompanying financing analysis. The revised certified rent roll dated September 1, 2026 controls. Forty-five suites are in active possession, no suites are pending, and three suites (046, 047, 048) are vacant, giving unit occupancy of 0.9375 and area occupancy of 0.9375.

Underwritten effective gross income is \$945,045: all-unit scheduled monthly rent on the revised roll of \$81,425 per month annualized to \$977,100 of gross potential rent, less a 5% economic loss, plus other income of \$350 per unit per year (\$16,800). Underwritten operating expenses of \$301,183 (taxes \$102,312, insurance \$34,104, other recurring \$136,416, management fee of 3% of EGI \$28,351) produce underwritten NOI before reserves of \$643,862. After \$300 per unit of replacement reserves (\$14,400), underwritten net cash flow is \$629,462.

Capitalizing NOI before reserves at the revised 6.0000% rate indicates a capitalization value of \$10,731,028. Sizing at 65% LTV, 1.25x minimum DSCR on NCF and 9% minimum NCF debt yield, over a 30-year monthly amortization at the revised 7.0000% sizing rate, produces a maximum loan of \$6,307,523, still constrained by the DSCR test. After a 1% origination fee (\$63,075), \$45,000 of closing costs and the \$4,200,000 existing payoff, net cash-out is \$1,999,448, so there is no refinance shortfall.

No asking price, photographs, market sale or rent comparables, or sponsor history are supplied in the packet; their absence is disclosed rather than estimated. Source-backed analysis. Assumptions remain subject to diligence.

Property and Unit / Suite Mix

The mix, areas and group mapping are unchanged. Groups A, B and C correspond in order to Studio, 1BR and 2BR per the manager's cover note. Group C occupancy improves to 15 of 16 with Suite 045 now active, and Group C scheduled rent now includes Suite 045 at \$2,150 per month.

Group / Type	Units	Occupied (active)	Area SF each	Total area SF	Sched. rent / mo
A - Studio	16	15	700	11,200	\$1,500 each
B - 1BR	16	15	820	13,120	\$1,650 each

Group / Type	Units	Occupied (active)	Area SF each	Total area SF	Sched. rent / mo
C - 2BR	16	15	1030	16,480	\$1,925; 045 at \$2,150
Total	48	45	-	40,800	\$81,425 total

Lease and Occupancy Analysis

The controlling document is the revised certified roll as of 2026-09-01 (selected roll date). The 2026-08-31 certified roll and the 2026-06-30 archive are both superseded and retained only for audit trail; date-based supersession resolves the conflicts, which are therefore known and resolved rather than unresolved.

All 48 suites still show a lease expiration of 2029-08-31, roughly three years beyond the revision date, so there is no active suite expiry within the next twelve months and no near-term rollover exposure.

Suite 001 remains at \$1,500 per month base plus the executed +\$350 amendment (signed 2026-07-20, effective 2026-08-01), for contractual in-place rent of \$1,850 per month; the revision notice confirms prior executed amendments continue to apply. There is no free-rent concession as of the evaluation date and no unsigned rent proposal in the packet. Annual in-place rent on the 45 occupied suites is \$920,400 (\$76,700 per month x 12), up from \$894,600 on the initial package as Suite 045 entered possession at the higher rent.

The manager's earlier 45-of-48 leased headline counted the then-pending Suite 045 before possession, which overstated physical occupancy at the initial date. On the revised roll Suite 045 is genuinely active, so certified physical occupancy is now 45 of 48 and the presentation risk is cured on a go-forward basis; the historical overstatement is documented in the revision log.

Occupancy measure	Initial (2026-08-31)	Revised (2026-09-01)
Total units	48	48
Occupied units (active)	44	45
Pending units (no possession)	1	0
Vacant units	3	3
Total area SF	40,800	40,800
Occupied area SF	37,220	38,250
Unit occupancy (decimal)	0.9167	0.9375
Area occupancy (decimal)	0.9123	0.9375
Annual in-place rent (executed)	\$894,600	\$920,400
Suite 001 monthly rent	\$1,850	\$1,850

Historical versus Underwritten Financials

The trailing twelve months ended August 31, 2026 is unchanged by the revision: cash-basis collections of \$876,960 and reported NOI of \$604,128, computed before any management fee and before replacement reserves. The roof replacement remains identified as a capital improvement booked at zero in repairs, so no capital cost is embedded in reported operating expenses.

Revised underwritten NOI of \$643,862 exceeds reported T12 NOI by \$39,734. The bridge remains definitional: the underwriting uses a stabilized all-unit gross potential rent with a 5% economic loss and \$350 per unit of other income (reimbursements already included, not double counted) and adds a 3% management fee absent from the cash statement; NCF then deducts \$14,400 of reserves. Historical NOI, underwritten NOI and underwritten NCF remain distinct labeled measures.

Line	T12 actual (09/2025-08/2026)	Underwritten initial	Underwritten revised
Gross potential rent	not presented (collections)	\$974,400	\$977,100
Economic loss at 5%	n/a	(\$48,720)	(\$48,855)
Other income (\$350/unit)	included in collections	\$16,800	\$16,800
EGI	\$876,960 collections	\$942,480	\$945,045
Real estate taxes	(\$102,312)	(\$102,312)	(\$102,312)
Insurance expense	(\$34,104)	(\$34,104)	(\$34,104)
Other recurring expenses	(\$136,416)	(\$136,416)	(\$136,416)
Management fee (3% EGI)	none reported	(\$28,274)	(\$28,351)
NOI before reserves	\$604,128 reported	\$641,374	\$643,862
Reserves (\$300/unit)	not deducted	(\$14,400)	(\$14,400)
Net cash flow	not presented	\$626,974	\$629,462

Valuation, Debt Sizing and Sources / Uses

Revised underwritten NOI before reserves is capitalized at 6.0000% (prior 5.7500% plus 25 basis points), indicating \$10,731,028. Value declines by \$423,296 versus the initial package because the 25 bp cap rate expansion outweighs the \$2,488 of incremental NOI. No market sale comparables are supplied to corroborate the rate, and no asking price is provided.

Sizing uses the revised 7.0000% rate, which exceeds both the 6.2500% note rate and the 6.0000% underwriting floor, so the floor remains non-binding. DSCR is again the governing test: \$6,307,523 versus an LTV ceiling of \$6,975,168 and a debt yield ceiling of \$6,994,018. At the sized loan, annual debt service is approximately \$503,569, DSCR is 1.25x, NCF debt yield is 0.0998 and loan to capitalization value is 0.5878.

Sizing continues to use the amortizing payment notwithstanding the 24-month interest-only period.

Proceeds still retire the \$4,200,000 existing loan and fund costs, leaving positive net cash-out of \$1,999,448, \$476,212 below the initial package. No additional equity is required.

Sizing / sources and uses	Initial	Revised (R1)
Capitalization value	\$11,154,323	\$10,731,028
LTV limit at 65.00%	\$7,250,310	\$6,975,168
DSCR limit at 1.25x	\$6,788,545	\$6,307,523
Debt yield limit at 9.00%	\$6,966,373	\$6,994,018
Maximum loan (binding: DSCR)	\$6,788,545	\$6,307,523
Loan to capitalization value	0.6087	0.5878
Origination fee at 1.00%	(\$67,885)	(\$63,075)
Closing costs	(\$45,000)	(\$45,000)
Existing loan payoff	(\$4,200,000)	(\$4,200,000)
Net cash-out	\$2,475,660	\$1,999,448

Sensitivity

The revised workbook carries a live grid of maximum loan across cap rates of 5.50% to 6.50% and sizing rates of 6.50% to 8.00%, holding revised NOI and NCF constant. DSCR governs throughout the revised grid, so proceeds are driven by the sizing rate rather than by value at these cap rates.

Indicative maximum loan at the 6.00% cap rate: approximately \$6,639,000 at a 6.50% sizing rate, \$6,307,523 at the base 7.00%, \$6,002,000 at 7.50% and \$5,719,000 at 8.00%. Each 50 bp move in the sizing rate shifts proceeds by roughly \$300,000, which flows dollar for dollar (net of the 1% fee) into net cash-out. Figures recompute live in the workbook.

Risks and Missing Diligence

Each risk is assessed independently on the revised record; known source conflicts are resolved by document date rather than left open.

Risk	Initial	Revised (R1)	Basis
Pending unit in occupancy	present	absent	Revised roll shows Suite 045 active with no pending units; the prior headline overstatement is cured (revision-notice.pdf p.1; rent-roll-revised.xlsx D49)
Near-term rollover (12 months)	absent	absent	All expirations 2029-08-31
Missing insurance	absent	absent	Policy \$2,000,000 GL aggregate, 2026-07-01 to 2027-06-30
Capital in operating expenses	absent	absent	Roof replacement \$0 in repairs, identified as capital
Unsigned rent change	absent	absent	Suite 045 increase is directed by the certified revision notice and revised roll; Suite 001 change is a signed amendment; no unsigned proposal in packet
Temporary free rent	absent	absent	No concession as of the evaluation date
Sizing floor binding	absent	absent	7.0000% sizing rate exceeds the 6.0000% floor and the 6.2500% note rate
Refinance shortfall	absent	absent	Net cash-out positive at \$1,999,448

Missing Diligence and Explicit Unknowns

Still not supplied and explicitly unknown, distinct from zero: asking price or offering guidance; photographs and site imagery; market sale and rent comparables; sponsor track record; capital expenditure budget or property condition reserve schedule; tax and insurance renewal quotes; utility and reimbursement detail beyond the aggregate embedded in revenue; tenant credit and delinquency detail; and documentary support for the Suite 045 possession date and \$225 increase beyond the revision notice and revised roll.

Legal, environmental, property condition and title reviews remain incomplete. These are routine pending diligence items; the packet supplies no evidence of contamination, litigation, fraud or structural failure, and none is asserted. The superseded 2026-08-31 and 2026-06-30 rolls should be clearly marked in the data room while remaining available for audit.

Source Notes

All figures derive solely from the supplied packet; no external research or outreach was used. Prior deliverables remain in the audit archive and are not overwritten.

File	Location	Facts used
rent-roll-revised.xlsx	Rent Roll A2:G52	CONTROLLING roll 2026-09-01: 48 units, 45 active, 0 pending, 3 vacant; Suite 045 active at \$2,150; scheduled rent \$81,425/mo; expirations 2029-08-31
revision-notice.pdf	p.1	Supersession effective 2026-09-01; Suite 045 active and +\$225; sizing rate +75 bps; cap rate +25 bps; other rules and payoff unchanged; preserve approved copy
rent-roll-certified.xlsx	Rent Roll A2:G52	Superseded 2026-08-31 roll (audit trail)
rent-roll-archive.xlsx	Rent Roll A2:G52	Stale 2026-06-30 roll (audit trail)
lease-001.pdf	p.1	Suite 001 lease \$1,500/mo, 700 SF, expiry 2029-08-31, \$3,000 deposit, no free rent
lease-correspondence.pdf	p.1	Signed amendment 2026-07-20, effective 2026-08-01, +\$350/mo
operating-statement.pdf	p.1	T12 collections \$876,960; tax \$102,312; insurance \$34,104; other \$136,416; roof capital \$0; reported NOI \$604,128
insurance.pdf	p.1	GL aggregate limit \$2,000,000; term 2026-07-01 to 2027-06-30
manager-cover.pdf	p.1	Raleigh NC multifamily; A/B/C = Studio/1BR/2BR; approved copy sentence
underwriting-instructions.pdf	p.1	5% loss, \$350/unit other income, expense lines, 3% management, \$300/unit reserves, 65% LTV, 1.25x DSCR, 9% debt yield, 30-yr amort, note 6.2500% vs floor 6.0000%, 1% fee, \$45,000 costs, \$4,200,000 payoff
diligence-status.pdf	p.1	Legal, environmental, PCA and title reviews incomplete; routine pending items

Deliverables and Model Map

Revised workbook with live formulas: underwriting-v2.xlsx (sheets: Revision Log, Rent Roll, Underwriting, Debt, Sensitivity, Sources). Input cells: gross potential rent Underwriting!B4; cap rate Underwriting!B25; sizing rate Debt!B10. Output cells: uw_egi Underwriting!B10; uw_noi Underwriting!B19; uw_ncf Underwriting!B22; capitalization_value Underwriting!B26; maximum_loan Debt!B17; net_cash_out Debt!B32. The Revision Log sheet ties every changed input to its driver and shows prior values.

The initial deliverables underwriting-v1.xlsx and memorandum-v2.pdf remain in the audit archive and are not replaced by this revision. Source-backed analysis. Assumptions remain subject to diligence.